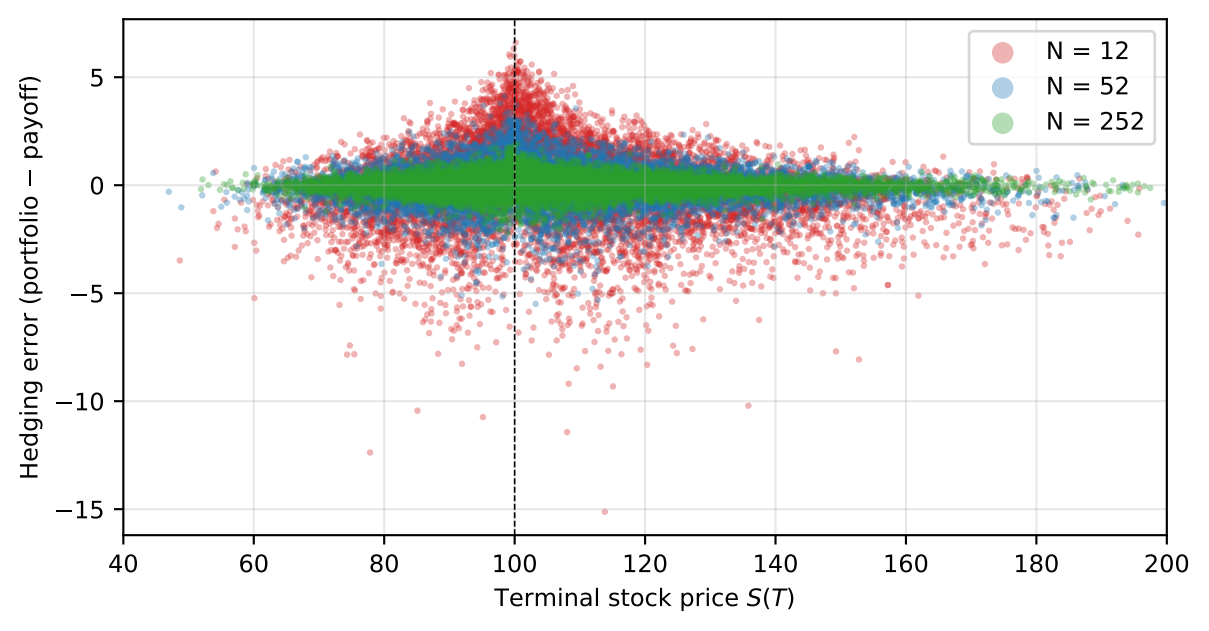

N = 12
N = 52
N = 252
Hedging error (portfolio − payoff)
5
0
−5
−10
−15
40
60
80
100
120
140
160
180
200
Terminal stock price $S(T)$